

Standard Chartered Bank: HY'22 Earnings Note

SCBK HY'22 net earnings edged up **10.89%** to **KES 5.41Bn** which was marginally above our expectations of KES 5.32Bn, while the **EPS** also grew **9.30%** to **KES 13.87.** The impressive numbers, in the bottom line, were mainly powered by growth in operating income (+10.23% y/y to **KES 15.56Bn**) despite a concurrent growth in Total Operating Expenses (+9.18% y/y to **KES 7.99Bn**). Balance sheet expansion remained muted with the loan book (-1.35% y/y to **KES 128.52Bn**) declining compared to growth in customer deposits (+3.14% y/y to **KES 286.91Bn**)

17th August 2022

Current price: KES 133.75

Target price: KES 145.19

Upside: 7.88%

Recomm: HOLD

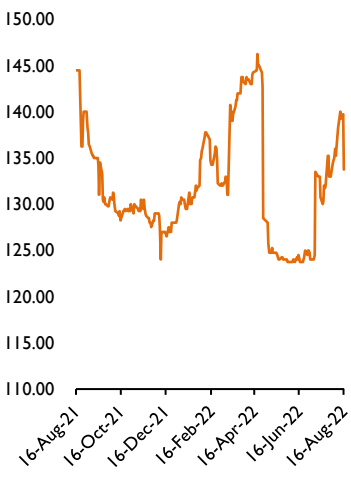
52 Week High: KES 146.25

52 Week Low: KES 123.75

YTD Performance: +4.29%

EPS (HY21): KES 13.87

SCBK 1-Year Share Price Movement



- **Efficiency Concerns Emerge:** Cost to income ratio less impairment provisioning deteriorating 333bps to 56.80% is a point of concern for us given the bank's push for and investment in digital transaction channels. Operating expenses (+9.18% y/y to **KES 7.99Bn**) growth was driven by an 11.45% jump in staff cost and an 83.06% decline in impairment provisioning. However, the impairment provisioning increased 225.79% q/q to **KES 108.19Mn** highlighting the tough economic environment that increased lending risks. 1H'22 performance not withstanding, we expect Opex to continue declining in coming periods given 96.00% of the banks' transactions are currently happening outside the branch, driven by the corporate segment.

- **Non-Interest Income out-performs Net Interest Income:** Non-Interest income grew faster **(+10.90%)** than Net Interest Income **(+9.86%)** mainly driven by income from financial markets, custodial and wealth management businesses. Wealth management grew **25.00%** on the back of a **12.00%** jump in the AUM driven by improved customer sentiments and favorable market movements. We also noted a **33.63%** jump in Forex trading income, which was expected, given the market arbitrage opportunities presented by the widening spreads as the Kenyan shilling depreciated further and dollar shortage challenges affected importers. Yields from assets were up 21bps to **7.95%** owing to Interest income growing **4.42%** y/y to **KES 11.52Bn** as both interest from government securities and from Loans improved 4.02% and 4.86%, respectively. Interest expenses declined 21.44% to **KES 1.51Bn** leading to the cost of funds remaining flat at 1.49% as the bank continued sourcing for cheaper deposits. Trailing Net Interest margins (NIMS) improved 92.71bps to 7.31% as the revenue mix maintained at **65:35** for NII:NFI.

- **Asset quality concerns persist:** The NPL ratio worsened marginally to **15.41%** from **15.36%** in HY'21, which is above the current industry average of **14.70%.** Meanwhile, the NPL Coverage improved to **83.88%** from **81.40%** in HY'20 driven by a 0.53% y/y decline in Gross NPLs to **KES 22.74Bn.** Higher than industry average NPLs is a source of concern with the bank increasing provisioning for the commercial loan segment. CBK's approval of the risk-based model is likely to lead to an improvement in the quality of assets.

Our View and Outlook - We observed a moderate growth in the lender's performance driven by interest income from both lending and government securities. However, we are concerned by the higher than industry average NPLs and a slow balance sheet growth which is lower than the five-year average. We foresee future growth in bank's earnings being driven by digital channels including offerings in custodial services, financial markets and wealth management services. We expect the impressive performance to continue in 2H'22 and will be reflected in the FY'22 results with a potential to match or even better the KES 19.00 dividend paid in FY'21. Lack of an interim dividend could see a further decline in the share price as it closed yesterday's trading at KES 133.75 being a 4.29% lower than the previous day.

The counter's current metrics point to undervaluation with a current trailing P/E of 5.57x lower than the market's 7.80x and P/TB of 2.56x. We maintain our **HOLD** recommendation as we monitor the market for an attractive entry point.

Financial Statements Summary

Income Statement	FY18	FY19	FY20	H1'21	FY21	Q1'22	HY'22	% y/y Change
Net Interest Income	19,396.30	19,472.49	19,117.15	9,115.39	18,809.42	4,922.46	10,014.04	9.86%
Net non-Interest Income	9,201.22	9,227.42	8,289.78	4,997.61	10,355.00	2,486.70	5,542.17	10.90%
Total Operating income	**28,597.52**	**28,699.91**	**27,406.93**	**14,113.00**	**29,164.42**	**7,409.15**	**15,556.21**	**10.23%**
Provision for Impairment	(1,930.51)	(572.59)	(3,882.16)	(638.54)	(2,081.63)	86.01	(108.19)	-83.06%
Total Operating expenses	(16,750.90)	(16,526.06)	(20,010.88)	(7,315.32)	(16,566.37)	(3,481.17)	(7,986.88)	9.18%
Profit before tax	**11,846.62**	**12,173.86**	**7,396.06**	**6,797.67**	**12,598.05**	**3,927.98**	**7,569.33**	**11.35%**
Profit after tax	**8,099.19**	**8,236.77**	**5,440.42**	**4,879.06**	**9,043.84**	**2,764.73**	**5,410.18**	**10.89%**
Core EPS	21.49	21.85	14.43	12.94	23.99	6.87	14.12	9.09%
DPS	19.00	20.00	10.50	-	19.00	-	-	-

Balance Sheet	FY18	FY19	FY20	H1'21	FY21	Q1'22	HY'22	% y/y Change
Government Securities	98,704.74	99,628.93	99,779.22	101,381.16	95,595.61	178,709.03	115,381.78	13.81%
Loans and Advances	118,651.55	128,690.34	121,524.23	130,275.65	125,974.59	128,092.64	128,520.85	-1.35%
Total Assets	**285,404.02**	**302,139.06**	**325,605.07**	**345,646.34**	**334,871.94**	**340,912.86**	**364,291.62**	**5.39%**
Customer Deposits	224,284.42	228,433.52	256,497.53	278,186.88	265,469.11	265,388.13	286,911.61	3.14%
Total Liabilities	238,764.64	254,378.53	274,715.03	293,939.97	281,657.83	285,289.72	307,862.05	4.74%
Shareholder's Funds	**46,639.39**	**47,760.53**	**50,890.04**	**51,706.37**	**53,214.11**	**55,623.14**	**56,429.58**	**9.13%**

Key Ratios	H1'2021	H1'2022	y/y change
Yield from interest-earning assets	7.74%	7.95%	0.21%
Cost of funding	1.49%	1.49%	0.00%
NPL Ratio	15.36%	15.41%	0.05%
Net Interest Margin	6.39%	7.31%	0.93%
Cost of Risk	4.52%	0.70%	-3.83%
NII/Operating Income	64.59%	64.37%	-0.22%
NFI/Operating Income	35.41%	35.63%	0.22%
Cost to Income Ratio	51.83%	51.34%	-0.49%
Loan to deposit ratio	46.83%	44.79%	-2.04%
Return on Average Equity	13.70%	17.71%	4.01%
Return on Average Assets	2.11%	2.70%	0.59%

Source: Company filings, AIB-AXYS Analyst Estimates



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